

Corporate Governance and Agency Problem

Investment vs Financing Decisions

- **Investment Decision:** How to allocate capital to long-term assets (tangible/intangible assets)
- Also known as **Capital Budgeting Decision** or **Capital Expenditure (CAPEX) Decision**
- Examples of investment decisions: launching a new product, expanding into a new market, acquiring another company, investing in research and development
- **Tangible assets:** physical assets used in operations.
- **Intangible assets:** non-physical assets that provide long-term value.
- Examples of tangible assets : machinery, buildings, land
- Examples of intangible assets: patents, trademarks, copyrights, goodwill
- **Real assets:** physical assets used in operations (e.g. machinery, buildings, land)
- **Financial assets:** financial instruments that represent a claim on future cash flows (e.g. stocks, bonds, derivatives)
- **Financing Decision:** How to raise capital to fund long-term investments
- Also known as **Capital Structure Decision**
- Mixture of debt and equity financing
- Debt financing: borrowing money from external sources (e.g. banks, bondholders) with the obligation to repay with interest
- Equity financing: issuing shares of stock to investors in exchange for ownership stake in the company

Corporation

- A business organised as a separate legal entity owned by shareholders
- Shareholders elect a board of directors, who appoints managers to run the company and monitor their performance
- Separation of ownership and control.
- **(Permanence):** Corporation continues to exist even if ownership changes
- **(Limited Liability):** The owners of a corporation are not personally liable for its obligations. Shareholders are only liable for the amount they invested in the company.
- **Types of Corporations:**
 - **Public Corporation:** owned by a large number of shareholders and traded on public stock exchanges
 - **Private Corporation:** owned by a small group of shareholders and not traded on public stock exchanges
- **Types of Business Organisations:**
 - **Sole Proprietorship:** owned and operated by a single individual
 - **Partnership:** owned and operated by two or more individuals who share profits and losses
 - **Corporation:** separate legal entity owned by shareholders

- **Limited Liability Company (LLC):** hybrid structure that combines the benefits of a corporation and a partnership. No double taxation, limited liability, flexible management structure.
- **Professional Corporation (PC):** for licensed professionals (e.g. doctors, lawyers, accountants). Limited liability for business debts, but not for professional malpractice (can be sued).

	Sole Proprietorship	Partnership	Corporation
Who owns the business?	The manager	Partners	Stockholders
Are managers and owners separate?	No	No	Usually
What is the owner's liability?	Unlimited	Unlimited	Limited
Are the owner and business taxed separately?	No	No	Yes

Financial Managers

- **Chief Financial Officer (CFO):** oversees the financial operations/policies of the company and corporate planning
- **Treasurer:** manages the company's cash and investments, raises capital, and manages banking relationships
- **Controller:** oversees the accounting and financial reporting functions of the company, ensures compliance with financial regulations and standards

Agency Problem

- **Goals of a Corporation:**
 - Shareholders desire wealth maximization. Maximizing the current market value of shareholder's investment in the company.
 - Why not profit maximization? Profit is a flow variable, while wealth is a stock variable. Profit does not account for the time value of money, risk, and cash flows. Earning manipulation to increase short-term profit may harm long-term wealth.
 - **Opportunity cost of capital:** minimum acceptable rate of return on capital investments by shareholders (set by investment alternatives in the financial markets)
- **Agency Problem:** conflict of interest between shareholders (principals) and managers (agents). Managers are agents of shareholders and are tempted to act in their own interests rather than maximizing shareholder value.
- Managers have constituencies called **stakeholders** (e.g. employees, customers, suppliers, creditors, government) whose interests may not align with shareholders.
- **Agency Costs:** Value lost from agency problems or from efforts to mitigate agency problems.
- **Solutions to Agency Problem:**
 - **Executive Compensation:** align manager's interests with shareholders. E.g. stock options, bonuses tied to performance metrics (e.g. stock price, earnings per share)
 - **Corporate Governance:** Systems of laws, regulations, policies, institutions, and corporate practices that protect shareholders and other investors.
 - **Elements of Good Corporate Governance:**
 - Legal requirements and regulations
 - Board of Directors: independent directors, committees (e.g. audit, compensation, nomination)
 - Activist shareholders: large shareholders who actively monitor and influence management

- Takeovers: threat of takeover can discipline management (e.g. If you share price is undervalued, another company may acquire you and replace management)
- Transparency and disclosure: accurate and timely financial reporting, disclosure of material information

Ethics of Maximising Shareholder Wealth

- Short selling: selling borrowed shares in the hope of buying them back at a lower price to make a profit. (Can lead to market manipulation)
- Corporate raiders: investors who acquire a large stake in a company to influence management and increase shareholder value.
- Tax avoidance: legal strategies to minimize tax liability (e.g. offshore accounts, tax shelters)